Affle India Private Limited
Financial Statements for year ended March 31, 2016

S.R. BATLIBOI & ASSOCIATES LLP
Chartered Accountants

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INDEPENDENT AUDITOR'S REPORT

To the Members of Affle (India) Private Limited

Report on the Financial Statements

We have audited the accompanying financial statements of Affle (India) Private Limited ("the Company"), which comprise the Balance Sheet as at March 31, 2016, the Statement of Profit and Loss and Cash Flow Statement for the year then ended, and a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Financial Statements

The Company's Board of Directors is responsible for the matters stated in Section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation of these financial statements that give a true and fair view of the financial position, financial performance and cash flows of the Company in accordance with accounting principles generally accepted in India, including the Accounting Standards specified under section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial control that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We have taken into account the provisions of the Act, the accounting and auditing standards and matters which are required to be included in the audit report under the provisions of the Act and the Rules made thereunder. We conducted our audit in accordance with the Standards on Auditing, issued by the Institute of Chartered Accountants of India, as specified under Section 143(10) of the Act. Those Standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal financial control relevant to the Company's preparation of the financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of the accounting estimates made by the Company's Directors, as well as evaluating the overall presentation of the financial statements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the financial statements.

Opinion

In our opinion and to the best of our information and according to the explanations given to us, the financial statements give the information required by the Act in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India of the state of affairs of the Company as at March 31, 2016, its profit, and its cash flows for the year ended on that date.

S.R. Batliboi & Associates LLP * Gurgaon

Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's report) Order, 2016 ("the Order") issued by the Central Government of India in terms of sub-section (11) of section 143 of the Act, we give in the Annexure 1 a statement on the matters specified in paragraphs 3 and 4 of the Order.

2. As required by section 143 (3) of the Act, we report that:

(a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit;

(b) In our opinion proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books;

(c) In our opinion, the aforesaid financial statements comply with the Accounting Standards specified under section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014;

(d) On the basis of written representations received from the directors as on March 31, 2016, and taken on record by the Board of Directors, none of the directors is disqualified as on March 31, 2016, from being appointed as a director in terms of section 164 (2) of the Act;

(e) With respect to the adequacy of the internal financial controls over financial reporting of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure 2" to this report;

(f) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

i. The Company does not have any pending litigations which would impact its financial position;

ii. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.

iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.

For **S.R. Batliboi & Associates LLP**
Chartered Accountants
ICAI Firm Registration Number: 101049W/E300004

S.R. Batliboi & Associates LLP Gurgaon

per Yogesh Midha
Partner
Membership Number: 94941
Place : Gurgaon
Date: 21 June 2016

Annexure referred to in paragraph 1 under the heading "Report on other legal and regulatory requirements" of our report of even date

Re: Affle India Private Limited ('the Company')

(i) (a) The Company has maintained proper records showing full particulars, including quantitative details and situation of fixed assets.

(b) Fixed assets have been physically verified by the management during the year and no material discrepancies were identified on such verification.

(c) According to the information and explanations given by the management, there are no immovable properties, included in fixed assets of the Company and accordingly, the requirements under paragraph 3(i)(c) of the Order are not applicable to the Company.

(ii) The Company's business does not involve inventories and, accordingly, the requirements under paragraph 3(ii) of the Order are not applicable to the Company.

(iii) According to the information and explanations given to us, the Company has not granted any loans, secured or unsecured to companies, firms, limited liability partnerships or other parties covered in the register maintained under section 189 of the Companies Act, 2013. Accordingly, the provisions of clause 3(iii)(a), (b) and (c) of the Order are not applicable to the Company and hence not commented upon.

(iv) In our opinion and according to the information and explanations given to us, there are no loans, investments, guarantees, and securities granted in respect of which provisions of section 185 and 186 of the Companies Act 2013 are applicable and hence not commented upon.

(v) The Company has not accepted any deposits from the public.

(vi) To the best of our knowledge and as explained, the Central Government has not specified the maintenance of cost records under Section 148(1) of the Companies Act, 2013, for the products/services of the Company.

(vii) (a) Undisputed statutory dues including provident fund, income-tax, service tax, cess and other material statutory dues have not been regularly deposited with the appropriate authorities and there have been serious delays in large number of cases.

(b) According to the information and explanations given to us, no undisputed amounts payable in respect of provident fund, income-tax, service tax, cess and other material statutory dues were outstanding, at the year end, for a period of more than six months from the date they became payable.

(c) According to the information and explanations given to us, there are no dues of income tax, service tax and cess which have not been deposited on account of any dispute.

(viii) In our opinion and according to the information and explanations given by the management, the Company has not defaulted in repayment of dues to a financial institution, bank or debenture holders or government.

(ix) In our opinion and according to information and explanations given by the management, term loans were applied for the purpose for which the loans were obtained, though idle/surplus funds which were not required for immediate utilization have been gainfully invested in fixed deposit. The maximum amount of idle/surplus funds invested during the year was Rs 67 Mn, of which Rs 27 Mn was outstanding at the end of the year.

S.R. Batliboi & Associates LLP * Gurgaon *

(x) Based upon the audit procedures performed for the purpose of reporting the true and fair view of the financial statements and according to the information and explanations given by the management, we report that no fraud by the Company or no fraud on the Company by the officers and employees of the Company has been noticed or reported during the year.

(xi) According to the information and explanations given by the management, the provisions of section 197 read with Schedule V of the Act is not applicable to the Company and hence reporting under clause 3(xi) of the Order are not applicable and hence not commented upon.

(xii) In our opinion, the Company is not a nidhi company. Therefore, the provisions of clause 3(xii) of the Order are not applicable to the Company and hence not commented upon.

(xiii) According to the information and explanations given by the management, transactions with the related parties are in compliance with section 188 of Companies Act, 2013 where applicable and the details have been disclosed in the notes to the financial statements, as required by the applicable accounting standards. The provisions of section 177 are not applicable to the Company and accordingly, reporting under clause 3(xiii) of the Order insofar as it relates to section 177 of the Act is not applicable to the Company and hence not commented upon.

(xiv) According to the information and explanations given to us and on an overall examination of the balance sheet, the Company has not made any preferential allotment or private placement of shares or fully or partly convertible debentures during the year under review and hence, reporting requirements under clause 3(xiv) of the Order are not applicable to the Company and, not commented upon.

(xv) According to the information and explanations given by the management, the Company has not entered into any non-cash transactions with directors or persons connected with him as referred to in section 192 of Companies Act, 2013.

(xvi) According to the information and explanations given to us, the provisions of section 45-IA of the Reserve Bank of India Act, 1934 are not applicable to the Company.

For **S.R. Batliboi & Associates LLP**
Chartered Accountants
ICAI Firm Registration Number: 101049W/E300004

S.R. Batliboi & Associates LLP * Gurgaon *

per Yogesh Midha
Partner
Membership Number: 94941
Place: Gurgaon
Date: 21 June 2016

ANNEXURE 2 to the Independent Auditor's Report of Even Date on the Financial Statements of Affle (India) Private Limited

Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

Re: Affle India Private Limited ('the Company')

We have audited the internal financial controls over financial reporting of Affle (India) Private Limited ("the Company") as of March 31, 2016, in conjunction with our audit of the standalone financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

The Company's management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the Company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditor's Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") and the Standards on Auditing as specified under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls, both applicable to an audit of Internal Financial Controls and, both issued by the Institute of Chartered Accountants of India. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the internal financial controls system over financial reporting.

Meaning of Internal Financial Controls Over Financial Reporting

A company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial

S.R. Batliboi & Associates LLP Gurgaon

statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls Over Financial Reporting

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, the Company has, in all material respects, an adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as at March 31, 2016, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India.

For **S.R. Batliboi & Associates LLP**
Chartered Accountants
ICAI Firm Registration Number: 101049W/E300004

S.R. Batliboi & Associates LLP * Gurgaon *

per Yogesh Midha
Partner
Membership Number: 94941
Place: Gurgaon
Date: 21 June 2016

Affle (India) Private Limited
Balance Sheet as at 31 March 2016

	Notes	31 March 2016 Rs.	31 March 2015 Rs.
Equity and Liabilities			
Shareholders' funds			
Share Capital	3	158,239,840	158,239,840
Reserves and Surplus	4	(29,045,466)	(78,234,980)
		129,194,374	**80,004,860**
Share application money pending allotment		12	12
Non-current liabilities			
Long- term borrowings	5	42,827,584	-
Long-term provisions	6	5,492,533	3,789,765
Current liabilities			
Trade payables	7		
Total outstanding dues of micro enterprises and small enterprises		-	
Total outstanding dues of creditors other than micro enterprises and small enterprises		194,787,659	172,139,691
Other current liabilties	7	50,850,464	31,344,186
Short-term provisions	6	2,829,622	3,530,179
		248,467,745	**207,014,056**
Total		**425,982,248**	**290,808,693**
Assets			
Non-current assets			
Fixed assets			
Tangible assets	8	1,696,465	1,298,435
Intangible assets	9	11,117,286	5,053,253
Capital work in progress		1,263,565	-
Intangible assets under development (Refer note 33)		41,292,900	-
Deferred tax assets	10	7,086,867	5,136,125
Loans and advances	11	31,963,637	1,691,158
		94,420,720	**13,178,971**
Current assets			
Trade receivables	12	147,893,601	223,476,691
Cash and bank balances	13	68,283,043	19,174,892
Loans and advances	11	46,822,030	22,272,662
Other current assets	14	68,562,854	12,705,477
		331,561,528	**277,629,722**
Total		**425,982,248**	**290,808,693**
Summary of significant accounting policies	**2.1**		

The accompanying notes are an integral part of the financial statements.

As per our report of even date
For S.R. BATLIBOI & ASSOCIATES LLP
ICAI Firm's Registration No.: 101049W/E300004
Chartered Accountants

per Yogesh Midha
Partner
Membership No.: 94941
Place: Gurgaon
Date: June 21, 2016

For and on behalf of the Board of Directors of
Affle (India) Private Limited
CIN No. U65990MH1994PTC080451

Anuj Kumar
Director
[DIN: 01400273]
Place: Gurgaon
Date: June 21, 2016

Anuj Khanna Sohum
Director
[DIN: 01363666]
Place: Gurgaon
Date: June 21, 2016

Khushboo Sachdeva
Company Secretary
Place: Gurgaon
Date: June 21, 2016

Affle (India) Private Limited

Statement of Profit and Loss for the year ended 31 March 2016

	Notes	31 March 2016 Rs.	31 March 2015 Rs.
Income			
Revenue from operations	15	724,311,501	393,272,432
Other income	16	2,728,925	1,298,698
Total income		**727,040,426**	**394,571,130**
Expenses			
Publishers' cost (Refer note 29)		518,049,134	277,415,669
Employee benefits expenses	17	70,813,999	53,560,414
Depreciation and amortisation expenses	18	2,559,683	1,051,922
Finance cost	19	8,718,261	1,471,345
Other expenses	20	78,763,244	43,374,522
Total expenses		**678,904,321**	**376,873,872**
Profit before tax		**48,136,105**	**17,697,258**
Tax expenses:			
Current tax			
Pertaining to profit for the current year		7,957,828	1,287,733
Less: Mat credit entitlement		(7,957,828)	(1,287,733)
Adjustment of tax relating to earlier year		897,333	-
Deferred tax (credit)/ charge		(1,950,742)	(5,136,125)
Total tax expense		**(1,053,409)**	**(5,136,125)**
Profit after tax		**49,189,514**	**22,833,383**
Earnings per equity share [nominal value of share Rs. 10 (31 March 2015: Rs. 10)]			
Basic and diluted earning per share	21	3.11	1.45
Summary of significant accounting policies	**2.1**		

The accompanying notes are an integral part of the financial statements.

As per our report of even date
For S.R. BATLIBOI & ASSOCIATES LLP
ICAI Firm's Registration No.: 101049W/E300004
Chartered Accountants

S.R. Batliboi & Associates LLP Gurgaon

per Yogesh Midha
Partner
Membership No.: 94941
Place: Gurgaon
Date: June 21, 2016

For and on behalf of the Board of Directors of
Affle (India) Private Limited
CIN No. U65990MH1994PTC080451

Affle India Private Limited

Anuj Kumar
Director
[DIN: 01400273]
Place: Gurgaon
Date: June 21, 2016

Anuj Khanna Sohum
Director
[DIN: 01363666]
Place: Gurgaon
Date: June 21, 2016

Khushboo Sachdeva
Company Secretary
Place: Gurgaon
Date: June 21, 2016

Affle (India) Private Limited

Cash flow statement for the year ended 31 March 2016

		31 March 2016 Rs.	31 March 2015 Rs.
Cash flow from operating activities			
Net profit before tax		48,136,105	17,697,258
Adjustment to reconcile profit before tax to net cash flows			
Depreciation and amortisation expense		2,559,683	1,051,922
Provision for doubtful receivables		7,817,160	1,539,162
Bad debts		6,179,997	5,972,200
Unrealized foreign exchange (gain)/ loss		(131,808)	(1,638,910)
Advances written off		-	7,570,840
Bad debt recovered		(1,500,080)	-
Interest income		(1,045,885)	(1,298,698)
Interest expense		7,476,917	1,196,374
Operating profit before changes in assets and liabilities		**69,492,089**	**32,090,148**
Movement in working capital:			
(Increase)/ decrease in trade receivables		60,935,623	(131,769,625)
(Increase)/ decrease in other current assets		(55,575,534)	(4,743,210)
(Increase)/ decrease in loans and advances		(22,864,043)	(14,591,715)
Increase / (decrease) in provisions		1,002,211	(3,614,235)
Increase / (decrease) in trade payable and other current liabilities		7,608,861	128,833,312
Cash generated from operations		**60,599,207**	**6,204,675**
Direct taxes paid (net of refunds)		(2,355,137)	(1,908,134)
Net cash flow from operating activities (A)		**58,244,070**	**4,296,541**
Cash flow from investing activities			
Purchase of fixed assets		(51,578,213)	(6,606,197)
Advances to related parties		(30,500,000)	-
Interest received		764,042	1,204,925
Maturity of bank deposits (having original maturity of more than three months)		3,250,000	-
Proceeds from long term fixed deposits with scheduled banks		-	10,535,822
Net cash flow from/ (used in) investing activities (B)		**(78,064,172)**	**5,134,550**
Cash flow from financing activities			
Increase / (decrease) in borrowings		90,000,000	-
Repayment of borrowings		(10,344,830)	-
Interest paid		(7,476,917)	(1,196,374)
Net cash flow from/ (used in) financing activities (C)		**72,178,253**	**(1,196,374)**
Net increase/ (decrease) in cash and cash equivalents (A + B + C)		52,358,151	8,234,717
Cash and cash equivalent at the beginning of the year		15,924,892	7,690,175
Cash and cash equivalent at the end of the year		**68,283,043**	**15,924,892**
Components of cash and cash equivalents			
Balance with banks			
- On current account		40,789,613	15,899,549
Deposit with original maturity less than 3 months		27,000,000	-
Cash in hand		493,430	25,343
Total cash and cash equivalents		**68,283,043**	**15,924,892**
Summary of significant accounting policies	2.1		

As per our report of even date

For S.R. BATLIBOI & ASSOCIATES LLP

ICAI Firm's Registration No.: 101049W/E300004

Chartered Accountants

S.R. Batliboi & Associates LLP Gurgaon

per Yogesh Midha

Partner

Membership No.: 94941

Place: Gurgaon

Date: June 21, 2016

For and on behalf of the Board of Directors of

Affle (India) Private Limited

CIN No. U65990MH1994PTC080451

Affle India Private Limited

Anuj Kumar

Director

[DIN: 01400273]

Place: Gurgaon

Date: June 21, 2016

Anuj Khanna Sohum

Director

[DIN: 01363666]

Place: Gurgaon

Date: June 21, 2016

Khushboo Sachdeva

Company Secretary

Place: Gurgaon

Date: June 21, 2016

1. Corporate information

Affle (India) Private Limited ("the Company"), is a private limited Company, domiciled in India, incorporated under the provisions of the Companies Act, 1956, and is a subsidiary of Affle Holding Pte. Ltd. The Company was incorporated on August 18, 1994. The Company is engaged in providing mobile advertisement services through Information Technology.

2. Basis of preparation

The financial statements of the Company have been prepared in accordance with generally accepted accounting principles in India (Indian GAAP). The Company has prepared these financial statements to comply in all material respects with the accounting standards notified under section 133 of the Companies Act, 2013 read together with paragraph 7 of the Companies (Accounts) Rules, 2014. The financial statements have been prepared on an accrual basis and under the historical cost convention.

As at 31 March 2016, the Company has accumulated losses aggregating to Rs. 29,045,466 against paid up equity share capital of Rs. 158,239,840. The Company's' ability to continue as a going concern is dependent on the success of operations and its ability to arrange recurring funding to meet expected losses over the next years. The holding company has committed to provide financial and operational support to the Company to ensure that it continues to operate as a going concern and meets all its liabilities over the next twelve months. Accordingly, these financial statements have been prepared on a going concern basis and no adjustment has been made to the carrying value or classification of the balance sheet items.

The Board of Directors of the Company, in its meeting held on May 13, 2015 has approved the proposal for amalgamation of the Company with AD2C (India) Private Limited, AD2C Holdings Private Limited and AppStudioz Technologies Private Limited subject to sanction of Hon'ble High Court of Mumbai (Hon'ble High Court). The scheme of amalgamation is effective from April 1, 2015. The Company intends to carry on the business of the amalgamating companies after the amalgamation. Pending the sanction by the Hon'ble High Court, the scheme has not been given effect in these financial statements.

The accounting policies have been consistently applied by the Company and are consistent with those used in previous year.

2.1 Summary of significant accounting policies

(a) Use of estimates

The preparation of financial statements in conformity with Indian GAAP requires the management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities and the disclosure of contingent liabilities, at the end of the reporting period. Although these estimates are based on the management's best knowledge of current events and actions, uncertainty about these assumptions and estimates could result in the outcomes requiring a material adjustment to the carrying amount of assets or liabilities in future periods.

(b) Tangible fixed assets

Fixed assets are stated at cost, net of accumulated depreciation and accumulated impairment losses, if any. The cost comprises purchase price and directly attributable cost of bringing the asset to its working condition for the intended use. Any discounts and rebates are deducted in arriving at the purchase price.

Subsequent expenditure related to an item of fixed asset is added to its book value only if it increases the

S.R. Batliboi & Associates LLP * Gurgaon *

Affle (India) Private Limited

future benefits from the existing asset beyond its previously assessed standard of performance. All other expenses on existing fixed assets, including day-to-day repair and maintenance expenditure and cost of replacing parts, are charged to the statement of profit and loss for the period during which such expenses are incurred.

Gains or losses arising from derecognition of fixed assets are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognized in the statement of profit and loss when the asset is derecognized.

(c) Depreciation on tangible fixed assets

Fixed assets are depreciated on pro-rata basis from the date on which the asset is ready to use, using written down value method ("WDV"), at higher of rates as per the useful lives of the assets estimated by the management, or at the rates as per useful lives prescribed under the Schedule II to the Companies Act, 2013. The Company has used the following rates to provide depreciation on its fixed assets.

Category	Estimated useful life (years)
Computers (including hardware and network installations)	3 years - 6 years
Office equipments	5 years

Consequent to the requirements of Companies Act, 2013, the Company has changed its estimate of useful life of assets as well charging depreciation on assets costing less than Rs. 5,000 over useful life instead of charging depreciation on such assets in year of purchase. The change does not have any material impact in the financial statements of the Company for the previous year.

(d) Intangible assets

Intangible assets acquired separately are measured on initial recognition at cost. Following initial recognition, intangible assets are carried at cost less residual value and accumulated amortization and accumulated impairment losses, if any.

Intangible assets are amortized on a straight-line basis over the estimated useful economic life of 4-5 years. The Company uses a rebuttable presumption that the useful life of an intangible asset will not exceed 4-5 years from the date when the asset is available for use. If the persuasive evidence exists to the affect that useful life of an intangible asset exceeds four years, the Company amortizes the intangible asset over the best estimate of its useful life. All intangible assets are assessed for impairment whenever there is an indication that the intangible asset may be impaired.

Gains or losses arising from de recognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognized in the statement of profit and loss when the asset is derecognized.

(e) Leases

Where the Company is lessee

Leases, where the lessor effectively retains substantially all the risks and benefits of ownership of the leased item, are classified as operating leases. Operating lease payments are recognized as an expense in the statement of profit and loss on a straight-line basis over the lease term.

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Affle (India) Private Limited

(f) Impairment of tangible and intangible assets

The carrying amounts of assets are reviewed at each balance sheet date if there is any indication of impairment based on internal/external factors. An impairment loss is recognized wherever the carrying amount of an asset exceeds its recoverable amount. The recoverable amount is the greater of the asset's net selling price and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and risks specific to the asset. Impairment losses of continuing operations are recognized in the statement of profit and loss. After impairment, depreciation is provided on the revised carrying amount of its assets over its remaining useful life.

(g) Revenue recognition

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured. The following specific recognition criteria must also be met before revenue is recognized:

Income from services

The revenue from rendering advertisement services is recognized on accrual basis as and when services are rendered based on the terms of specific contract. In terms of contract, shortfall of revenue over the billed amount as at the year-end is carried in financial statement as unbilled revenue separately.

The revenue from development work is recognized when the work is delivered.

Interest

Interest income is recognized on a time proportion basis taking into account the amount outstanding and the applicable interest rate. Interest income is included under the head "other income" in the statement of profit and loss.

(h) Foreign currency translation

Foreign currency transactions and balances

(i) Initial recognition

Foreign currency transactions are recorded in the reporting currency, by applying to the foreign currency amount the exchange rate between the reporting currency and the foreign currency at the date of the transaction.

(ii) Conversion

Foreign currency monetary items are retranslated using the exchange rate prevailing at the reporting date. Non-monetary items, which are measured in terms of historical cost denominated in a foreign currency, are reported using the exchange rate at the date of the transaction.

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Affle India Private Limited

(iii) Exchange differences

Exchange differences arising on the settlement of monetary items or on reporting monetary items of the Company at rates different from those at which they were initially recorded during the period, or reported in previous financial statements, are recognized as income or as expense in the period in which they arise.

(i) Retirement and other employee benefits

- Retirement benefit in the form of provident fund is a defined contribution scheme. The contributions to the provident fund is charged to the statement of profit and loss for the year when the contributions are due. The Company has no obligation, other than the contribution payable to the provident fund.

- The Company is liable for payment of gratuity. Gratuity liability is defined benefit obligation and is provided for on the basis of an actuarial valuation on projected unit credit method made at the end of each financial year. Actuarial gain and loss for the defined benefit plan is recognized in full in the period in which they occur in the statement of profit and loss.

- Accumulated leave is provided for based on actuarial valuation. The actuarial valuation is done as per projected unit credit method. The Company presents the entire leave as a current liability in the balance sheet, since it does not have an unconditional right to defer its settlement for 12 months after the reporting date.

(j) Income taxes

Tax expense comprises of current tax and deferred tax. Current income tax is measured at the amount expected to be paid to the tax authorities in accordance with the Indian Income Tax Act. Deferred income taxes reflect the impact of current year timing differences between taxable income and accounting income for the year and reversal of timing differences of earlier years.

Deferred tax is measured based on the tax rates and the tax laws enacted or substantively enacted at the balance sheet date. Deferred tax assets are recognized only to the extent that there is reasonable certainty that sufficient future taxable income will be available against which such deferred tax assets can be realized. In situations where the Company has unabsorbed depreciation or carry forward tax losses, all deferred tax assets are recognized only if there is virtual certainty supported by convincing evidence that they can be realized against future taxable profits.

At each balance sheet date, the Company re-assesses unrecognized deferred tax assets. It recognizes unrecognized deferred tax assets to the extent that it has become reasonably certain or virtually certain, as the case may be that sufficient future taxable income will be available against which such deferred tax assets can be realized.

The carrying amount of deferred tax assets are reviewed at each balance sheet date. The Company writes-down the carrying amount of a deferred tax asset to the extent that it is no longer reasonably certain or virtually certain, as the case may be, that sufficient future taxable income will be available against which deferred tax asset can be realized. Any such write-down is reversed to the extent that it becomes reasonably certain or virtually certain, as the case may be, that sufficient future taxable income will be available.

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Minimum Alternate Tax (MAT) credit is recognized as an asset only when and to the extent there is convincing evidence that the Company will pay normal income tax during the specified period. In the year in which the Minimum Alternative tax credit becomes eligible to be recognized as an asset in accordance with the recommendations contained in guidance Note issued by the Institute of Chartered Accountants of India, the said asset is created by way of a credit to the profit and loss account and shown as MAT Credit Entitlement. The Company reviews the same at each balance sheet date and writes down the carrying amount of MAT Credit Entitlement to the extent there is no longer convincing evidence to the effect that Company will pay normal Income Tax during the specified period.

(k) Earnings/(Loss) Per Share

Basic earnings/ (loss) per share are calculated by dividing the net profit or loss for the period attributable to equity shareholders by the weighted average number of equity shares outstanding during the period.

(l) Provisions

A provision is recognized when the Company has a present obligation as a result of past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. Provisions are not discounted to their present value and are determined based on the best estimate required to settle the obligation at the reporting date. These estimates are reviewed at each reporting date and adjusted to reflect the current best estimates.

(m) Contingent liabilities

A contingent liability is a possible obligation that arises from past events whose existence will be confirmed by the occurrence or non-occurrence of one or more uncertain future events beyond the control of the Company or a present obligation that is not recognized because it is not probable that an outflow of resources will be required to settle the obligation. A contingent liability also arises in extremely rare cases where there is a liability that cannot be recognized because it cannot be measured reliably. The Company does not recognize a contingent liability in the financial statements since, no such obligation recorded during the year.

(n) Cash and cash equivalents

Cash and cash equivalents for the purpose of cash flow statement comprise cash at bank and in hand and bank deposits with an original maturity of three months or less.

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3 Share capital

	31 March 2016 Rs.	31 March 2015 Rs.
Authorised share capital:		
16,000,000 (31 March 2015: 16,000,000) Equity Shares of Rs. 10 each fully paid up	160,000,000	160,000,000
Issued, subscribed and paid up:		
15,823,984 (31 March 2015: 15,823,984) Equity Shares of Rs. 10 each fully paid up	158,239,840	158,239,840
Total issued, subscribed and paid up share capital	**158,239,840**	**158,239,840**

a. The reconciliation of number of shares outstanding and amount of capital is set out below

Equity shares

	31 March 2016		31 March 2015	
	No. of Shares	Amount (Rs.)	No. of Shares	Amount (Rs.)
Equity shares at the beginning of the year	15,823,984	158,239,840	10,525,299	105,252,990
Equity shares issued during the year			5,298,685	52,986,850
Equity shares at the end of the year	**15,823,984**	**158,239,840**	**15,823,984**	**158,239,840**

b. **Terms and rights attached to equity share holders:**
The Company has only one class of equity shares having a par value of Rs. 10 per share. The holders of equity shares are entitled to receive dividends and are entitled to one vote per share. In the event of liquidation, equity shareholders will be entitled to receive assets of the Company in proportion to the number of shares held to the total equity shares outstanding as on that date.

c. **Shares held by Holding Company and/or their subsidiaries**
Out of the equity shares issued by the Company, shares held by its Holding Company and its subsidiaries are as below

	31 March 2016 Rs.	31 March 2015 Rs.
Affle Holdings Pte Limited, Singapore, the Holding Company		
11,806,185 (31 March 2015: 11,806,185) equity shares of Rs. 10 each fully paid	118,061,850	118,061,850
Affle Limited, United Kingdom, subsidiary of Affle Holdings Pte Limited		
3,474,480 (31 March 2015: 3,474,480) equity shares of Rs. 10 each fully paid	34,744,800	34,744,800
Affle Appstudioz Pte Limited, Singapore, subsidiary of Affle Holding Pte Limited		
543,316 (31 March 2015: 543,316) equity shares of Rs. 10 each fully paid	5,433,160	5,433,160

d. **The details of shareholders holding more than 5% shares :**

Name of shareholder	31 March 2016		31 March 2015	
	No. of shares	% Held	No. of shares	% Held
Affle Holdings Pte Limited, Singapore	11,806,185	74.61%	11,806,185	74.61%
Affle Limited, United Kingdom	3,474,480	21.96%	3,474,480	21.96%

4 Reserve and surplus

	31 March 2016 Rs.	31 March 2015 Rs.
(Deficit) in the statement of profit and loss		
Balance as per last financial statement	(78,234,980)	(101,068,363)
Add: Profit for the year	49,189,514	22,833,383
	(29,045,466)	**(78,234,980)**

5 Borrowings

	Long-term		Short-term	
	31 March 2016 Rs.	31 March 2015 Rs.	31 March 2016 Rs.	31 March 2015 Rs.
Term loan from NBFC (Secured)	42,827,584	-	36,827,586	-
Less: Amount disclosed under the head 'Other current liabilities'	-	-	(36,827,586)	-
Net amount	**42,827,584**	-	-	-

a) The Company has taken loan from InnoVen Capital India Private Limited ('the lender') in the capacity of a principal borrower, where by the co-borrowers are AD2C India Private Limited and Appstudioz Technologies Private Limited, the related parties of the Company. As per the terms of the loan agreement ('the agreement'), the principal borrower shall receive entire amount of loan from the lender, however, each of the borrowers , either individually or collectively, at their discretion shall be responsible to comply with the terms and conditions of the agreement. The Company has entered into a Memorandum of Understanding (MOU) with the related parties to facilitate such arrangement. As per the terms of the MOU, the loan amount shall be utilised by the Company and the co-borrowers inter se, and the co-borrowers shall reimburse the interest charged by the lender, in proportion to the loan amount utilised, to the Company. Accordingly, the reimbursement of interest amount has been netted off from interest expense in the statement of profit and loss during the year and the term loan amount given to the co borrowers has been disclosed under the head "Loans and Advances" as at year end

b) Term loan is secured by hypothecation of trade receivables of each of the borrowers.

c) Details on analysis of borrowings i.e. interest rate, currency and terms of repayments of borrowings :

Particulars	Currency	Rate of interest	Balance as on 31 March 2016	Terms of repayment
Term loan from Innoven Capital India Pvt Ltd	INR	16.10%	49,655,170	Fixed equal principal amount of INR2,068,966 is payable along with the interest on a monthly basis, for a period of 30 months starting from 1st October 2015
Term loan from Innoven Capital India Pvt Ltd	INR	16.10%	30,000,000	Fixed equal principal amount of INR1,000,000 is payable along with the interest on a monthly basis, for a period of 30 months starting from 1st April 2016

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6 Provisions

		Long-term		Short-term	
		31 March 2016 Rs.	31 March 2015 Rs.	31 March 2016 Rs.	31 March 2015 Rs.
Provision for employee benefits					
Provision for gratuity (Refer note 22)		5,492,533	3,789,765	364,042	320,282
Provision for leave encashment				1,965,580	1,009,897
	A	5,492,533	3,789,765	2,329,622	1,330,179
Other provisions					
Provision for contingencies [Refer note 27(a)]		-	-	500,000	2,200,000
	B			500,000	2,200,000
	A + B	**5,492,533**	**3,789,765**	**2,829,622**	**3,530,179**

7 Other current liabilities

		31 March 2016 Rs.	31 March 2015 Rs.
Trade payables			
Total outstanding dues of micro enterprises and small enterprises (Refer note 25 for details of dues to micro and small enterprises)			
Total outstanding dues of creditors other than micro enterprises and small enterprises	A	194,787,659	172,139,691
		194,787,659	172,139,691
Other liabilities			
Interest accured but not due on borrowings		970,107	
Payable to related party		7,559,746	
Current maturities of long term borrowings		36,827,586	
Statutory dues payable		5,493,025	31,344,186
	B	50,850,464	31,344,186
	A+B	**245,638,123**	**203,483,877**

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Affle (India) Private Limited

Notes to the financial statement for the year ended 31 March 2016

8 Tangible fixed assets

	Computers	Office Equipment	Total (Rs.)
Cost			
As at 31 March 2013	6,229,250	1,105,047	**7,334,297**
Additions	249,199	49,990	**299,189**
Disposals	(1,265,198)	(759,774)	**(2,024,972)**
As at 31 March 2014	**5,213,251**	**395,263**	**5,608,514**
Additions	1,263,692	129,347	**1,393,039**
Disposals	-	-	-
As at 31 March 2015	**6,476,943**	**524,610**	**7,001,553**
Additions	1,458,198	27,863	**1,486,061**
Disposals	-	-	-
As at 31 March 2016	**7,935,141**	**552,473**	**8,487,614**
Depreciation			
As at 31 March 2013	5,514,656	534,251	**6,048,907**
Charge for the year	315,579	86,125	**401,704**
Disposals	(1,223,375)	(416,135)	**(1,639,510)**
As at 31 March 2014	**4,606,860**	**204,241**	**4,811,101**
Charge for the year	662,003	230,014	**892,017**
Disposals	-	-	-
As at 31 March 2015	**5,268,863**	**434,255**	**5,703,118**
Charge for the year	1,004,912	83,118	**1,088,029**
Disposals	-	-	-
As at 31 March 2016	**6,273,775**	**517,373**	**6,791,148**
Net Block			
As at March 31, 2015	**1,208,080**	**90,355**	**1,298,435**
As at March 31, 2016	**1,661,366**	**35,100**	**1,696,465**

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Notes to the financial statement for the year ended 31 March 2016

9 Intangible fixed assets

	Computer Software	Mobile application	Total (Rs.)
Cost			
As at 31 March 2013	21,113,800	-	21,113,800
Additions	-	-	-
Disposals	-	-	-
As at 31 March 2014	**21,113,800**	**-**	**21,113,800**
Additions	212,278	5,000,880	5,213,158
Disposals	-	-	-
As at 31 March 2015	**21,326,078**	**5,000,880**	**26,326,958**
Additions	922,367	6,613,320	**7,535,687**
Disposals	-	-	-
As at 31 March 2016	**22,248,445**	**11,614,200**	**33,862,645**
Depreciation			
As at 31 March 2013	2,111,380	-	2,111,380
Charge for the year	4,222,764	-	4,222,764
Impairment loss	14,779,656	-	14,779,656
As at 31 March 2014	**21,113,800**	**-**	**21,113,800**
Charge for the year	17,120	142,785	159,905
As at 31 March 2015	**21,130,920**	**142,785**	**21,273,705**
Charge for the year	128,517	1,343,138	**1,471,654**
As at 31 March 2016	**21,259,437**	**1,485,923**	**22,745,359**
Net Block			
As at 31 March 2015	**195,158**	**4,858,095**	**5,053,253**
As at 31 March 2016	**989,008**	**10,128,277**	**11,117,286**

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10 Deferred tax assets (Refer note 34)

	31 March 2016 Rs.	31 March 2015 Rs.
Fixed assets: Impact of difference between tax depreciation and depreciation/ amortization charged for financial reporting	1,761,366	2,729,440
Provision for doubtful debts and advances	2,787,603	745,519
Provision for gratuity	1,900,166	1,333,505
Provision for leave encashment	637,732	327,661
	7,086,867	**5,136,125**

11 Loans and advances

	Non-current		Current	
	31 March 2016 Rs.	31 March 2015 Rs.	31 March 2016 Rs.	31 March 2015 Rs.
(Unsecured, considered good unless stated otherwise)				
Security deposits	5,641,346	403,425	1,365,907	1,054,843
Loan and advances to related parties (Refer notes 5(a) and 5(b))	18,500,000	-	12,000,000	
Advances recoverable in cash or in kind			2,459,266	1,704,507
Advance tax [net of provision amounting to Rs.7,957,828 (31 March 2015: 1,287,733)]			9,091,867	7,634,063
MAT credit entitlement	7,822,291	1,287,733		
Interest free loan to employees			264,765	93,504
Prepaid expenses			762,657	306,754
Balance with government/ statutory authorities			20,877,567	11,478,991
	31,963,637	**1,691,158**	**46,822,030**	**22,272,662**

12 Trade receivables

	31 March 2016 Rs.	31 March 2015 Rs.
Outstanding for a period more than six months from the date they are due for payment		
Unsecured, considered good	2,318,468	34,780,865
Unsecured, considered doubtful	8,591,779	997,783
	10,910,247	35,778,648
Provision for doubtful receivables	(8,591,779)	(997,783)
	2,318,468	34,780,865
Other receivables		
Unsecured, considered good	145,575,133	188,695,826
Unsecured, considered doubtful	-	1,300,010
	145,575,133	189,995,836
Provision for doubtful receivables	-	(1,300,010)
	145,575,133	188,695,826
	147,893,601	**223,476,691**

13 Cash and bank balances

	31 March 2016 Rs.	31 March 2015 Rs.
A. Cash and cash equivalents		
Balance with banks		
On current account	40,789,613	15,899,549
Cash in hand	493,430	25,343
Deposit with original maturity less than 3 months	27,000,000	
	68,283,043	15,924,892
B. Other bank balances		
Deposit with original maturity for more than 3 months but less than 12 months		3,250,000
		3,250,000
	68,283,043	**19,174,892**

14 Other current assets

	31 March 2016 Rs.	31 March 2015 Rs.
(Unsecured, considered good)		
Amount recoverable from related party	6,714,818	5,746,911
Accrued interest on deposits	658,326	376,483
Unbilled revenue	61,189,710	6,582,083
	68,562,854	**12,705,477**

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Affle (India) Private Limited

15 Revenue from operations

	31 March 2016 Rs.	31 March 2015 Rs.
Advertisement revenue	722,998,802	393,122,432
Other services	1,312,699	150,000
	724,311,501	**393,272,432**

16 Other income

	31 March 2016 Rs.	31 March 2015 Rs.
Interest income on		
-Bank deposits	932,215	1,036,003
-Income tax refund	113,670	262,695
Bad debt recovered	1,500,080	-
Miscellaneous income	182,960	-
	2,728,925	**1,298,698**

17 Employee benefits expenses

	31 March 2016 Rs.	31 March 2015 Rs.
Salaries, allowances and bonus	88,960,355	49,728,402
Contribution to provident fund	3,676,539	2,074,235
Gratuity	2,376,528	1,308,428
Staff welfare expenses	1,515,571	449,349
	96,528,993	53,560,414
Less: Cost capitalised as intangible asset under development (Refer note 33)	25,714,994	-
	70,813,999	**53,560,414**

18 Depreciation and amortisation expenses

	31 March 2016 Rs.	31 March 2015 Rs.
Depreciation of tangible assets	1,088,029	892,017
Amortization of intangible assets	1,471,654	159,905
	2,559,683	**1,051,922**

19 Finance cost

	31 March 2016 Rs.	31 March 2015 Rs.
Interest on late deposit of taxes	3,603,567	1,196,374
Interest on loan [Refer note 5(a)]	3,873,350	-
Bank charges	341,344	274,971
Others	900,000	-
	8,718,261	**1,471,345**

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Affle (India) Private Limited

20 Other expenses

	31 March 2016 Rs.	31 March 2015 Rs.
Rent	5,148,057	1,843,404
Power and fuel	190,268	151,735
Legal and professional fees (including payment to statutory auditor, refer detail below)	9,735,515	2,477,803
Infrastructure support services	4,394,022	-
Printing and stationery	671,607	433,707
Travelling and conveyance	7,684,221	5,726,153
Repairs and maintenance - others	850,055	688,651
Communication expenses	2,129,011	8,160,541
Rates and taxes	2,239,634	367,677
Recruitment expenses	1,019,624	611,768
Exchange differences (net)	3,322,660	1,787,204
Business promotion	29,684,178	5,272,624
Provison for doubtful receivables	7,817,160	1,539,162
Bad debts written off	6,179,997	5,972,200
Advances written off [Net of provision utilised nil (31 March 2015: Rs. 330,256)]	-	7,474,544
Miscellaneous expenses	1,730,781	867,349
	82,796,790	43,374,522
Less: Cost capitalised as intangible assets under development (Refer note 33)	4,033,546	-
	78,763,244	**43,374,522**

Payment to auditor

	31 March 2016 Rs.	31 March 2015 Rs.
Audit fee	1,100,000	1,000,000
Other services	-	300,000
Reimbursement of expenses	160,328	51,700
	1,260,328	**1,351,700**

21 Earning per share

	31 March 2016 Rs.	31 March 2015 Rs.
Profit after tax	49,189,514	22,833,383
Number of equity shares	15,823,984	15,823,984
Weighted average number of equity shares	15,823,984	15,794,950
Earning per share - basic and diluted	**3.11**	**1.45**

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22. Gratuity

The Company has a defined benefit gratuity plan. Every employee who has completed five years or more of service gets a gratuity on departure at 15 days salary (last drawn salary) for each completed year of service.

The following table summarizes the components of net employee benefits expense recognized in the statement of profit and loss:

Particulars	31 March 2016 Rs.	31 March 2015 Rs.
Current service cost	1,333,676	774,501
Past service cost	-	-
Interest cost	328,804	245,142
Expected return on plan assets	-	-
Curtailment cost / (Credit)	-	-
Settlement cost / (credit)	-	-
Net actuarial (gain)/ loss recognized in the year	230,048	288,785
Expenses recognized in the statement of profit and loss	**1,892,528**	**1,308,428**

The following table summarizes the amount to be recognized in balance sheet:

Particulars	31 March 2016 Rs.	31 March 2015 Rs.
Present value of obligation as at the end of the year	5,372,575	4,110,047
Fair value of plan assets as at the end of the year	-	-
Funded status / difference	(5,372,575)	(4,110,047)
Excess of actual over estimated	-	-
Unrecognized actuarial (gains)/losses	-	-
Net asset/(liability)recognized in balance sheet	**(5,372,575)**	**(4,110,047)**

Changes in present value of obligation are as follows:

Particulars	31 March 2016 Rs.	31 March 2015 Rs.
Present value of obligation as at the beginning of the year	4,110,047	2,801,619
Acquisition adjustment	-	-
Interest cost	328,804	245,142
Past service cost	-	-
Current service cost	1,333,676	774,501
Curtailment cost/(credit)	-	-
Settlement cost/(credit)	-	-
Benefits paid	(630,000)	-
Actuarial (gain)/loss on obligation	230,048	288,785
Present value of obligation as at the end of year	**5,372,575**	**4,110,047**

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The principal actuarial assumptions used in determining gratuity for the Company's plans are shown below:

Particulars	31 March 2016	31 March 2015
	%	%
Discount rate	8%	8%
Future salary increase	10.00%	10.00%
Withdrawal rates:		
Age:		
- up to 30 years	20.00%	20.00%
- from 31 to 44 years	10.00%	10.00%
- above 44 years	-	-

The estimates of future salary increases, considered in actuarial valuation, take account of inflation, seniority, promotion and other relevant factors, such as supply and demand in the employment market.

Amounts for the current and previous four periods are as follows:

As on	31 March 2012 Rs.	31 March 2013 Rs.	31 March 2014 Rs.	31 March 2015 Rs.	31 March 2016 Rs.
On projected benefit obligation	(1,455,381)	725,174	(415,138)	75,569	(230,048)
On plan assets	--	--	--	--	--

The best estimate for next year is Rs. 2,323,464.

23. Related party disclosure

a) Name of related parties and related party relationship:

Holding company: Affle Holdings Pte Ltd, Singapore

Fellow subsidiaries:
Affle Limited, United Kingdom
Affle AppStudioz Pte Ltd, Singapore
AD2C Holdings Private Limited
AD2C (India) Private Limited
AppStudioz Technologies Private Limited

Enterprise owned or significantly influenced by key management personnel or their relatives: NewU Health and Fitness Platform Pvt ltd

Key management personnel:
Anuj Kumar (Managing Director)
Anuj Khanna Sohum (Director)
Khushboo Sachdeva (Company Secretary)

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b) Related party transaction during the year as follows:

Particulars	Holding company (Refer note 35)		Fellow subsidiaries		Key management personnel		Enterprise owned or significantly influenced by key management personnel or their relatives		Total	
	31 March 2016	31 March 2015	31 March 2016	31 March 2015	31 March 2016	31 March 2015	31 March 2016	31 March 2015	31 March 2016	31 March 2015
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Service revenue (net of discount)										
AD2C (India) Private Limited	-	-	183,678,289	140,887,767	-	-	-	-	183,678,289	140,887,767
NewU Health and Fitness Platform Pvt ltd	-	-	-	-	-	-	167,445	-	167,445	-
Reimbursement of expenses to the Company										
AD2C (India) Private Limited	-	-	2,236,692	-	-	-	-	-	2,236,692	-
AppStudioz Technologies Private Limited	-	-	3,106,302	719,446	-	-	-	-	3,106,302	719,446
Affle Holdings Pte Ltd	6,147,879	3,546,911	-	-	-	-	-	-	6,147,879	3,546,911
Reimbursement of expenses by the Company										
AppStudioz Technologies Private Limited	-	-	2,372,502	374,400	-	-	-	-	2,372,502	374,400
AD2C (India) Private Limited	-	-	6,439,206	-	-	-	-	-	6,439,206	-
Purchase of intangible asset										
AppStudioz Technologies Private Limited [Refer note 5(a)]	-	-	16,492,914	5,000,880	-	-	-	-	16,492,914	5,000,880
AD2C (India) Private Limited	-	-	1,646,386	-	-	-	-	-	1,646,386	-
Indemnification asset derecognized [Refer note 27(a)]										
Affle Holdings Pte Limited, Singapore	1,700,000	5,300,000	-	-	-	-	-	-	1,700,000	5,300,000
Remuneration paid *										
Anuj Kumar	-	-		-	7,775,200	8,470,157		-	7,775,200	8,470,157
Khushboo Sachdeva	-	-	-	-	362,502	163,334	-	-	362,502	163,334
Issue of equity shares										
Affle Holdings Pte Limited, Singapore	-	22,569,060	-	-	-	-	-	-	-	22,569,060
Affle Limited, United Kingdom	-	-		24,984,630	-	-	-	-	-	24,984,630
Affle AppStudioz Pte Limited, Singapore	-	-	-	5,433,160	-	-	-	-	-	5,433,160
Share application money given										
AppStudioz Technologies Private Limited	-	-	-	5,000,000	-	-	-	-	-	5,000,000
Share application money refunded										
AppStudioz Technologies Private Limited	-	-		5,000,000	-	-	-	-	-	5,000,000
Advance given										
AppStudioz Technologies Private Limited	-		30,500,000	-	-	-	-	-	30,500,000	-

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Particulars	Holding company (Refer note 35)		Fellow subsidiaries		Key management personnel		Enterprise owned or significantly influenced by key management personnel or their relatives		Total	
	31 March 2016	31 March 2015	31 March 2016	31 March 2015	31 March 2016	31 March 2015	31 March 2016	31 March 2015	31 March 2016	31 March 2015
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Closing balances as at 31 March 2016 and 31 March 2015										
Trade receivables										
AD2C India Private Limited	-	-	29,380,583	88,534,106	-	-	-	-	29,380,583	88,534,106
NewU Health and Fitness Platform Pvt ltd	-	-	-	-	-	-	88,938	-	88,938	-
AppStudioz Technologies Private Limited	-	-	-	9,392,649	-	-	-	-	-	9,392,649
Other current assets										
Affle Holdings Pte Limited, Singapore	6,714,818	5,746,911	-	-	-	-	-	-	6,714,818	5,746,911
Trade payables										
AppStudioz Technologies Private Limited	-	-	862,756	-	-	-	-	-	862,756	-
AD2C India Private Limited	-	-	6,696,990	-	-	-	-	-	6,696,990	-
Loans and advances										
AppStudioz Technologies Private Limited	-	-	30,500,000	719,446	-	-	-	-	30,500,000	719,446
Share application money pending allotment										
Affle Holdings Pte Limited, Singapore	6	6	-	-	-	-	-	-	6	6
Affle AppStudioz Pte Limited, Singapore	-	-	6	6	-	-	-	-	6	6
Payable to Key Management Personel										
Anuj Kumar	-	-	-	-	39,972	-	-	-	39,972	-

* The remuneration to the key managerial personnel does not include the provisions made for gratuity and leave benefits, as they are determined on an actuarial basis for the Company as a whole.

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24. The Company is a Small and Medium Sized Company as defined in respect of the Accounting Standards notified, under the Companies (Accounts) Rules, 2014. Accordingly, the Company has complied with the Accounting Standards as applicable to a Small and Medium Sized Company.

25. Details of dues to micro and small enterprises as defined under the MSMED Act, 2006

In term of the requirement of the Micro, Small and Medium Enterprise Development Act, 2006, the Company has continuously sought confirmations. Based on the information available with the Company there are no principal/interest amount due to micro and small enterprise.

S.No.	Particulars	31 March 2016	31 March 2015
1	The principal amount and the interest due thereon (to be shown separately) remaining unpaid to any supplier as at the end of each accounting year.	**Nil**	Nil
2	The amount of interest paid by the buyer in terms of section 16, of the Micro Small and Medium Enterprise Development Act, 2006 along with the amounts of the payment made to the supplier beyond the appointed day during each accounting year	**Nil**	Nil
3	The amount of interest due and payable for the period of delay in making payment (which have been paid but beyond the appointed day during the year) but without adding the interest specified under Micro Small and Medium Enterprise Development Act, 2006.	**Nil**	Nil
4	The amount of interest accrued and remaining unpaid at the end of each accounting year; and	**Nil**	Nil
5	The amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues as above are actually paid to the small enterprise for the purpose of disallowance as a deductible expenditure under section 23 of the Micro Small and Medium Enterprise Development Act, 2006	**Nil**	Nil

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26. Earning and expenditure in foreign currency (accrual basis)

(a) Earning in foreign currency

Particulars	31 March 2016 Rs.	31 March 2015 Rs.
Revenue from operations	168,781,370	62,912,243
Total	**168,781,370**	**62,912,243**

(b) Expenditure in foreign currency

Particulars	31 March 2016 Rs.	31 March 2015 Rs.
Publishers' cost	262,424,776	141,563,201
Travelling expenses	2,744,483	1,580,151
Business development expenses	741,419	904,601
Total	**265,910,678**	**144,047,953**

27. (a) The Company is in contravention of certain provisions under Foreign Exchange Management Act (FEMA) due to certain administrative and regulatory non-filings by authorized dealer with Reserve Bank of India (RBI) related to non-allotment of equity shares within stipulated time and is in the process of applying relevant approvals with the regulatory authorities. The Company, basis legal opinion obtained in the previous year, is reasonably confident of receiving approval/ condonation from the regulatory authorities with respect to the above non-compliance after incurring certain penalties. The Holding Company has guaranteed to reimburse any liability arising on the Company on account of such non-compliance and accordingly, the Company has recorded provision and corresponding indemnification assets. During the current year, the Company has revised its estimate of provision due to regularization of the non-compliance and accordingly, has reduced the provision and indemnification asset.

(b) The share application money pending allotment of Rs. 12 for two subscribers appearing in the books of the Company is because of fraction amount on exchange conversion.

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28. Unhedged foreign currency exposure

The Company does not use derivative financial instruments such as forward exchange contracts or options to hedge its risks associated with foreign currency fluctuations or for trading/speculation purpose.

The amount of foreign currency exposure not hedged by derivative instruments or otherwise is as under:

	31 March 2016	31 March 2015
Trade payables		
Reported (Rs.)	53,641,160	86,998,844
Foreign exchange rate (USD/Rs.)	66.33	62.59
Foreign currency amount (USD)	808,666	1,539,303
Trade receivables		
Reported (Rs.)	29,388,150	37,521,804
Foreign exchange rate (USD/Rs.)	66.33	62.59
Foreign currency amount (USD)	443,059	599,478

29. Prior period items recognized in the statement of profit and loss clubbed in respective heads are as follows:

Description	31 March 2016 Rs.	31 March 2015 Rs.
Publishers' cost	434,247	-
Total	434,247	-

30. Leases

Operating lease: The Company as lessee

The Company has taken office premises on lease. The lease has been entered for a period of nine years with renewal option after the initial three years of the lease. The lease payments have been charged to the Statement of Profit and Loss.
Future minimum rentals payable under the operating lease is as follows:

Description	31 March 2016 Rs.	31 March 2015 Rs.
Within one year	1,968,150	1,857,753
After one year but not more than five years	316,800	1,056,000
More than five years	-	-

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Affle (India) Private Limited

31. Capital commitments

As at 31st March 2016, the Company has commitments on capital account and not provided for net of advance is Rs. 14,000,000 (31 March 2015: Rs. 6,686,080).

32. The Company has appointed independent consultants for conducting a Transfer pricing study to determine whether the transactions with associated enterprise were undertaken at "arm length price". The management confirms that all domestic and international transactions with associated enterprises are undertaken at negotiated contracted price on usual commercial terms and is confident of there being no adjustment on completion of the study. Adjustment, if any arising from the transfer pricing study shall be accounted for as and when the study is completed.

33. Intangible asset under development

During the year, the Company has capitalized the following expenses of revenue nature to the internally developed software; consequently, expenses disclosed under the respective heads are net of amounts capitalized by the Company.

Particulars	31 March 2016 Rs.	31 March 2015 Rs.
Salaries, allowances and bonus	25,714,994	-
Rent	2,191,404	-
Power and fuel	130,139	-
Printing and stationery	221,478	-
Travelling and conveyance	407,628	-
Repairs and maintenance – others	692,830	-
Communication cost	390,067	-
Total	**29,748,540**	**-**

34. During the year, based on reasonable certainty and estimated future projected taxable profits, the Company has recognized deferred tax assets amounting to INR 7,086,867 on timing differences as at 31st March 2016 (31 March 2015: Rs. 5,136,125). Further, the Company has not recognized deferred tax asset on brought forward tax losses and unabsorbed depreciation as per its accounting policy.

35. Affle Holdings Pte Ltd, Singapore (AHPL), the holding company, has certain stock option plans which entitle the employees of the group, including certain employees of the Company, the option to purchase shares of AHPL at the exercise date. As per the confirmation received from AHPL, such stock option plans are assessed, managed, administered and accounted for by AHPL, accordingly, the Company has not accounted/ disclosed for the above plans as per the Guidance Note on "Accounting for Employee Share-based Payments".

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Affle India Limited

36. Previous year's figures have been regrouped or rearranged where necessary to conform to the current year's classification.

As per our report of even date
For S. R. Batliboi & Associates LLP
ICAI Firm registration number: 101049W/E300004
Chartered Accountants

per Yogesh Midha
Partner
Membership No. 94941
Place: Gurgaon
Date: June 21, 2016

For and on behalf of the Board of Directors of Affle (India) Private Limited
CIN No. U65990MH1994PTC080451

Anuj Kumar
Director
[DIN: 01400273]
Place: Gurgaon
Date: June 21, 2016

Anuj Khanna Sohum
Director
[DIN: 01363666]
Place: Gurgaon
Date: June 21, 2016

Khushboo Sachdeva
Company Secretary
Place: Gurgaon
Date: June 21, 2016